Sayyal - Week 8/9 Preliminary Study

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1. Problem Definition

Investors in Saudi debt crowdfunding cannot exit before maturity. Sayyal targets sukuk platforms regulated by the CMA, SAMA separately regulates debt-based lending platforms. Neither source describes a way to sell early, and SAMA allows withdrawal before a campaign is fully funded.

Initial evidence

- **Scale.** Sukuk offered through CMA crowdfunding platforms reached SAR 3.4 billion in 2024, up from SAR 1.5 billion in 2023, with 17 permitted institutions. On the SAMA side, 12 licensed companies have financed SR 11 billion since 2016 with platform-reported totals reaching 19 billion SAR.
- **Length varies.** SAMA's rules allow repayment periods of up to 60 months, and CMA tenor limits generally differ. Lendo, a SAMA-side platform, offers 30–180 day opportunities. The problem is strongest with the longer tenors/investors.
- **No exit offered.** The Lendo and Funding Souq investor pages reviewed mention no sale before maturity so investors cannot opt out without losing their investment money.

Open questions on tradability and transfer of ownership

1. Can an investor resell a crowdfunded sukuk before maturity, or do private-placement resale limits apply?
2. Can this sukuk type trade at market price, or only at par if it represents a debt?
3. Which buyer limits apply, and who must approve a transfer (platform, issuer, CMA)?
4. How is a transferred holding handled if the issuer defaults?

2. Stakeholders

Needs are inferred from published sources only, no interviews or surveys before ethics approval.

Stakeholder	Expected needs
The Selling investor	Quick exit at a fair price, clear fees
The Buying investor	Full repayment history, stays within own limits
Crowdfunding platform (client)	Easy integration, compliance, fee income
Compliance officer	Flags on suspicious trades, full audit trail
Issuing SME	Repayment terms unchanged by a transfer
CMA (SAMA for lending platforms)	Investor protection, the resale
Shariah board	Transfers that respect sale-of-debt rules

3. Existing Solutions

European platforms offer resale, none was found on the Saudi platforms reviewed.

Platform	Exit model	Key terms
Mintos (EU)	Seller lists, paid when a buyer buys	Discount or premium, 0.85% fee, defaulted loans excluded
Estateguru (EU)	Claims sold to other investors	Average discount 1.94%, about 1.5 days per sale, defaulted claims tradable
Bondora (EU)	Secondary market	Closed 30 Sep 2025, replaced by a pooled product
Lendo, Funding Souq (KSA)	Hold to maturity	No early exit described

Sayyal's difference: an API add-on for licensed platforms with Saudi rules built in (buyer limits, Shariah-approved pricing), related-account checks and a transfer document for every trade. Bondora's closure shows the design must explain who keeps the market liquid.

4. Initial Requirements & Scope

Core:

- Listing a holding with a suggested price from the remaining schedule and payment history.
- Ability to browse, filter and buy
- One-buyer reservation so nothing sells twice
- Pre-settlement checks on buyer limits, price range, loan status and related accounts
- Settlement with a ledger transfer and a PDF transfer document
- Audit log of every action
- Admin dashboard for flagged trades and pricing rules for careful monitoring
- RBAC, in Arabic and English.

Deferred: partial sales, bidding, machine-learning fraud scoring, analytics, a mobile app, and integration with a real platform.

Simulated: the host platform, payments (internal ledger), identity verification (mock KYC) and ownership transfer (record and document, no legal effect), all on labelled synthetic data.

5. Feasibility & Planning

The build is feasible for three students, the main uncertainty is whether a transfer is permitted (regulation-wise) at all.

Area	Challenge	Initial response
Regulatory	Resale under CMA rules unconfirmed	Confirm early. if not permitted, deliver a proof of concept plus regulatory analysis
Shariah	Pricing may be limited to par	Configurable pricing policy approved by a Shariah board
Technical	Double sale under concurrency. Defensible and fair prices	Database transaction plus Redis lock; documented pricing formula
Security	Financial and identity data	Role-based access, encryption, tamper-evident log; synthetic data only
Project	Late start on ethics approval.	No-people-data fallback.

BMC (§13.3): applies. Sayyal will use an external paying client (platforms), commercial potential (per-trade or licence fee) and a hosted service to sustain. Full canvas in Weeks 10–12.

Next steps: W9 regulatory answers, requirements v1, methodology and backend choice - W10 use cases, activity diagrams, ERD, BMC draft - W11 sequence and class diagrams, architecture, clickable prototype - W12 heuristic evaluation, test plan, final BMC, impact statement - W13–14 report and presentation.

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